

FIYMA THEORY OF CHANGE (TOC)

THEORY OF CHANGE FIYMA CONSORTIUM				
Financial Inclusion for Youth and MSME in Agriculture 2025 - 2030				
Kenya priority agricultural value chains. A market-systems pathway from consortium activity to dignified youth livelihoods.				
BAND = sphere of influence & results level		ARROW (v) = testable IF - THEN assumption	[K] KILLER = killer assumption (high impact x likelihood)	PARTNER CHIP = partner ownership of the result
VISION 2030 IMPACT GOAL – 250,000 financially disadvantaged youth in Dignified & Fulfilling Work ≥ KES 17,500/month) within inclusive market systems [≥ 80% Women, ≥7,500 Persons with Disabilities and ≥2,500 Refugees]				
LEVEL 04 Sphere of Interest IMPACT by 2030	250,000 youth in Dignified and Fulfilling Work - earning more, producing more, reliably linked to markets and organized into formal groups – Sustained income at or above the DFW threshold across six priority value chains, with inclusion held at the center of every result.			
	≥ 20% Youth income increase	≥ 25% Productivity increase	2,000 Enterprises with market linkages	≥ 1,000 Groups formalized
IF -> THEN Outcomes hold to impact	v A3 - Income generation Investments generate income at 90-day verification	v A4 - DFW threshold Income meets KES 17,500/month standard	v A5 - Market linkages hold Reliable buyers at fair prices persist	v A9 - Policy influence Sector, county & MoA adopt practices
LEVEL 03 Sphere of Indirect Influence OUTCOMES	OC 1 Affordable credit USD 17M loan capital deployed USD 13.6M SACCO wholesale USD 3.4M direct to 140 Market Actor SMEs MESPT	OC 2 Finance, BDS & DFW 100,000 youth + 2,000 Market Actor SMEs ≥ 60% accessing Dignified & Fulfilling Work EAMDA MESPT WEL	OC 3 Work opportunities 150,000 work opportunities Direct and indirect due to FIYMA programme interventions EAMDA MESPT NCBA-CLUSA	OC 4 Group Sophistication 20,000 groups improved 1,000 formalized Active SACCO use OCA gains NCBA-CLUSA MESPT
	IF -> THEN Outputs convert to outcomes	v A2 - Enterprise investment Youth invest loans in viable enterprises	v A6 - BDS adoption Practices adopted beyond the classroom	v A8 - GESI equity Women, PWDs & refugees gain equitably
ACCOUNTABILITY BOUNDARY - partners deliver outputs below contribute to outcomes above				
LEVEL 02 Sphere of Direct Influence OUTPUTS	OP 1 SACCO lending capacity ≥ 35 SACCOs active 30 OCA-improved ≥10% loan-portfolio growth MESPT	OP 2 Technical & enterprise skills 100,000 youth + 2,000 Market Actor SMEs trained ≥ 50% of enterprises adopting improved practices EAMDA NCBA-CLUSA	OP 3 GESI & safeguarding 100% partners safeguarded 80% adoption 22k groups trained ≥ 50% women in SACCO leadership WEL MESPT NCBA-CLUSA	OP 4 Group leadership & linkage 20k groups 60k leaders trained 56 MOUs facilitated 10 learning products NCBA-CLUSA WEL
	IF -> THEN Activities produce outputs	v A1 - Wholesale on-lending SACCOs on-lend MESPT capital to youth	v Skills delivery & quality Training reaches scale at standard	v Safeguarding uptake Systems embedded across partners
LEVEL 01 Sphere of Control ACTIVITIES & partners	MESPT Wholesale credit + direct SME loans USD 17M deployment 35 SACCO partnerships OCA support PAR30 monitoring Accountable for: credit outcomes & SACCO outputs	EAMDA BDS, training & market linkages 100k youth + 2k Market Actor SMEs trained MOU facilitation agro-processing transitions Accountable for: skills, BDS & work-opportunity results	WEL GESI, safeguarding & DFW quality Gender programming DFW protocol safeguarding system agency & voice Accountable for: inclusion & DFW-quality results	NCBA-CLUSA Cooperative development & policy 20k groups formalization pathway SACCO linkage 10 learning products Accountable for: group formalization & cooperative outputs
	CRITICAL IF -> THEN ASSUMPTIONS A1 - A9 each a testable link			
A1 Wholesale lending – MESPT disburses USD 13.6M to 35 SACCOs -> SACCOs on-lend to youth agri-preneurs.		A2 Enterprise investment – SACCOs lend -> youth invest in value-chain-appropriate enterprises.		A3 Income generation – Youth invest -> enterprises generate income at 90-day verification.
A4 DFW threshold – Income generated -> youth income meets KES 17,500/mo.		A5 Market linkages – EAMDA links markets -> enterprises keep reliable buyers at fair prices.		A6 BDS adoption – BDS delivered -> youth adopt practices beyond the classroom.
A7 Group formalization – Groups supported -> groups progress to SACCO/cooperative.		A8 Gender & inclusion – WEL GESI deployed -> women, PWDs & refugees reach equitable outcomes.		A9 Policy influence – FIYMA generates evidence -> SACCO sector, county gov & MoA adopt practices.
KILLER ASSUMPTIONS [K] high impact x high likelihood				
[K] SACCO commitment to youth-inclusive lending holds.			[K] Young women overcome household, mobility & social-norm barriers (70% W).	
[K] Refugee documentation accepted by SACCOs (UNHCR pathway).			[K] Off takers maintain purchase commitments at fair prices.	
[K] Groups progress through the 3-band diagnostic to formalization.			[K] Counties remain supportive through the 2027 elections.	
[K] Labour-saving & income-enhancing technologies are adopted.				
EXTERNAL CONTEXT & ENABLING ENVIRONMENT				
Kenya 2027 elections (county political risk) SASRA SACCO regulatory reforms climate variability across 6 value chains currency & input-price volatility refugee documentation policy (UNHCR/GoK) Vision 2030 4 th MTP alignment.				

TOC NARRATIVE

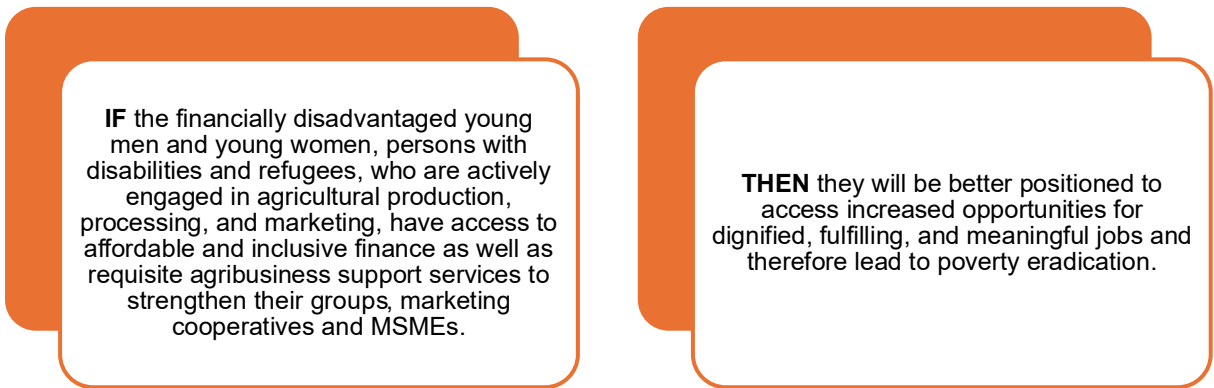
1.0. Programme Context and Development Challenge

The Financial Inclusion for Youth and M Market Actor SMEs in Agriculture (FIYMA) programme addresses a persistent challenge within Kenya's agricultural sector: the limited ability of financially disadvantaged young women and men to access the finance, business support and market opportunities required to establish sustainable livelihoods. Although agriculture remains one of the country's most important economic sectors, many young people continue to face barriers including inadequate access to affordable credit, weak enterprise capacity, limited market integration and underdeveloped collective structures capable of supporting business growth. These constraints disproportionately affect young women, persons with disabilities and refugees, who often experience additional social, financial and institutional barriers to economic participation. FIYMA recognizes that addressing these challenges requires more than expanding access to finance. Sustainable change depends on strengthening the broader ecosystem within which young people operate, including financial institutions, market actors, producer groups and support services.

2.0. Theory of Change and Causal Logic

FIYMA is built on the premise that access to finance becomes transformational when combined with enterprise development support, functioning markets and strong intermediary institutions. The programme therefore adopts an integrated approach that places viable economic opportunities at the centre of intervention design. The programme hypothesizes that if financially disadvantaged young women and men engaged in agricultural production, processing and marketing gain access to affordable and inclusive financial services, together with business development support delivered through strengthened SACCOs, cooperatives, youth groups and market actors, then they will be able to establish viable enterprises, increase productivity and income, and secure dignified and fulfilling work. Over time, these changes will contribute to poverty reduction, economic inclusion and more resilient agricultural market systems. The approach deliberately shifts the focus from individual deficits to systemic constraints. Rather than treating youth unemployment because of limited entrepreneurial ambition, the programme recognizes the role of weak financial intermediation, insufficient market linkages, limited enterprise support and inadequate institutional capacity in constraining youth participation within agricultural value chains.

FIYMA TOC LOGIC FLOW



3.0. Vision of Success

FIYMA's long-term ambition is to contribute to 250,000 young women and men accessing dignified and fulfilling work by 2030. The programme adopts a broader understanding of work quality, recognizing that sustainable economic participation cannot be measured through employment figures alone. Within FIYMA, dignified and fulfilling work is defined through four interconnected dimensions:

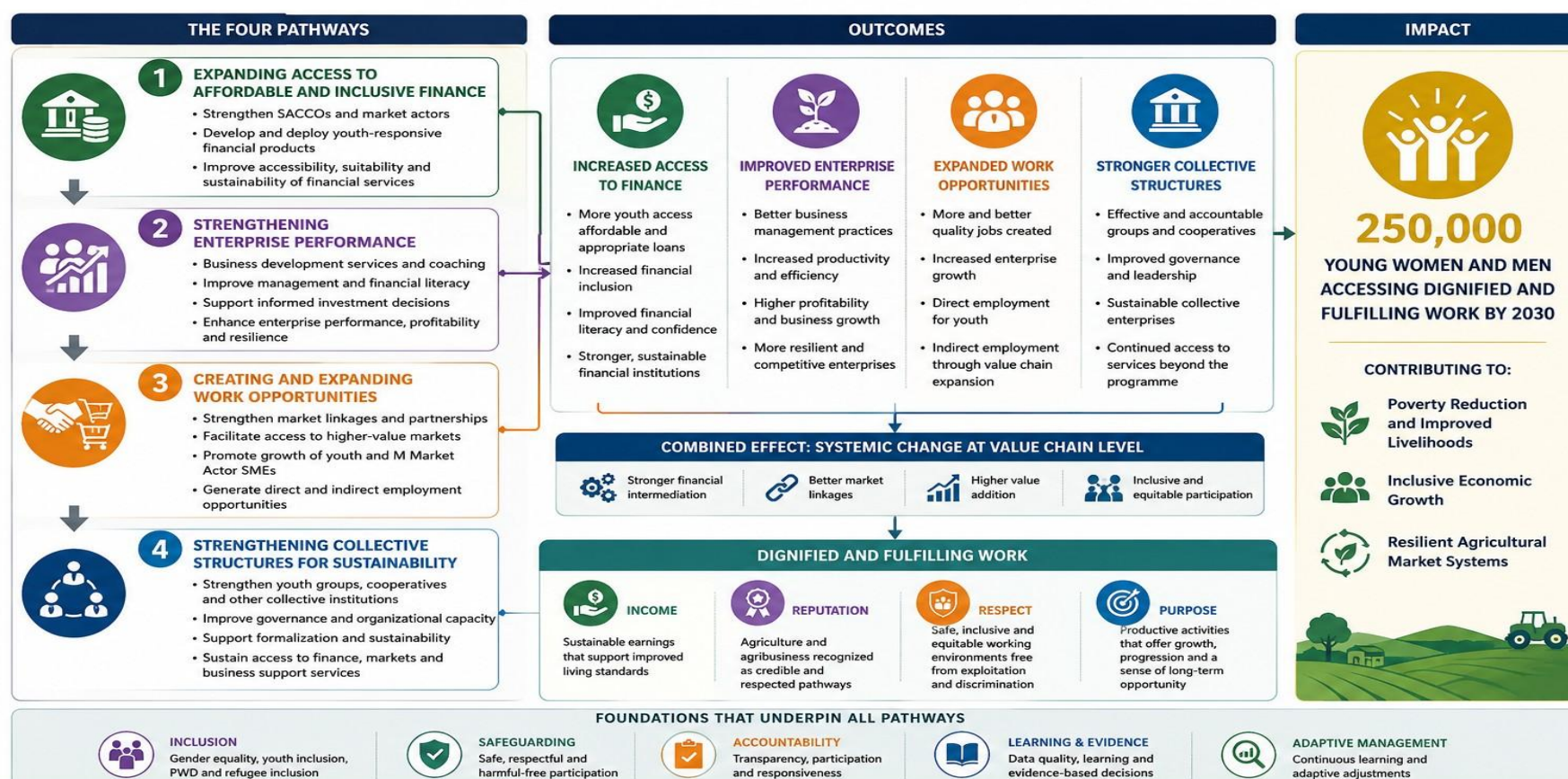
- Income - The ability to generate sustainable earnings that support improved living standards.
- Reputation - Recognition of agriculture and agribusiness as credible and respected livelihood pathways.
- Respect - Access to safe, inclusive and equitable working environments free from exploitation and discrimination.
- Purpose - Engagement in productive activities that offer growth, progression and a sense of long-term opportunity.

This multidimensional definition provides a more meaningful measure of programme success by capturing both economic and social aspects of livelihood improvement.

4.0. Pathways to Change

FIYMA: THEORY OF CHANGE

Strengthening access to finance, skills and institutions to unlock decent work and prosperity for financially disadvantaged young women and men in agricultural value chains.



- **Pathway 1: Expanding Access to Affordable and Inclusive Finance:** - The first pathway focuses on increasing access to affordable credit through SACCOs and market actors. FIYMA supports the development and deployment of youth-responsive financial products while strengthening the institutional capacity of financial intermediaries to serve young borrowers effectively. Through this pathway, the programme seeks to improve the availability, accessibility and suitability of financial services while maintaining portfolio quality and sustainability.
- **Pathway 2: Strengthening Enterprise Performance:** - Access to finance alone does not guarantee business success. The second pathway therefore focuses on strengthening enterprise viability through business development services, coaching and technical support. Young people and M Market Actor SMEs are supported to identify viable business opportunities, improve management practices, strengthen financial literacy and make informed investment decisions. These interventions are expected to improve enterprise performance, profitability and resilience.
- **Pathway 3: Creating and Expanding Work Opportunities:** - The third pathway focuses on strengthening market participation and expanding economic opportunities. Through improved market linkages, commercial partnerships and participation in higher-value segments of agricultural value chains, young people are expected to increase enterprise growth and generate additional employment opportunities. The programme tracks both direct opportunities created for participating in the youth and indirect opportunities generated through expanding enterprises and value chain growth.
- **Pathway 4: Strengthening Collective Structures for Sustainability:** - The fourth pathway focuses on strengthening youth groups, cooperatives and collective institutions as long-term vehicles for economic participation. Through governance strengthening, organizational development and formalization processes, groups are supported to become more effective, sustainable and capable of continuing to serve their members beyond the programme period. These structures provide an important foundation for continued access to finance, markets and business support services.

5.0. Results Pathway and Accountability Framework

The programme's results architecture follows a logical progression from outputs to outcomes and impact. Consortium interventions generate outputs including strengthened SACCOs, trained youth and M Market Actor SMEs, improved safeguarding systems, strengthened groups and documented learning products. These outputs contribute to improved institutional performance, stronger enterprises, better market participation and enhanced organizational capacity. The resulting outcomes include increased access to finance, improved enterprise performance, expanded work opportunities and stronger collective structures. Collectively, these outcomes contribute to the programme's impact of enabling young people to access dignified and fulfilling work. FIYMA further distinguishes between what the programme directly controls, what it can influence and the broader changes to which it contributes. The consortium maintains direct accountability for programme inputs, activities and outputs, while outcomes are understood as areas of influence that depend on the actions of financial institutions, market actors, groups and beneficiaries. Long-term changes in poverty reduction, labour market transformation and economic inclusion are recognized as shared development results influenced by multiple actors and external factors.

6.0. Assumptions, Risks and Adaptive Management

The programme's success depends on several critical assumptions. These include the willingness of financial institutions to offer youth-responsive products, the continued availability of viable market opportunities, supportive policy and economic conditions, progression of groups toward greater organizational maturity, and equitable participation by women, persons with disabilities and refugees. Recognizing that these assumptions may not always hold, FIYMA incorporates continuous monitoring, learning and adaptive management mechanisms. Regular performance reviews, evidence generation, feedback systems and learning processes enable the consortium to identify emerging risks, test assumptions and make timely adjustments to implementation strategies.

7.0. Cross-Cutting Principles

Several principles underpin all programme interventions and pathways. These include inclusion, safeguarding, accountability, learning and evidence-based decision-making. The programme maintains a strong commitment to gender equity and social inclusion, while safeguarding standards ensures that participation occurs within safe and respectful environments. Continuous learning and data quality assurance support adaptive management and strengthen accountability to programme participants, partners and stakeholders.

8.0. Conclusion

FIYMA's Theory of Change recognizes that sustainable youth employment and economic inclusion cannot be achieved through finance alone. By combining financial inclusion, enterprise development, market systems strengthening and institutional capacity building, the programme seeks to address the structural barriers that limit youth participation in agriculture. Through this integrated approach, FIYMA aims to create the conditions under which young people can build viable enterprises, access meaningful economic opportunities and achieve dignified and fulfilling work.